National Overview

State Scorecard

Supply vs Demand

Rental Crisis

Recommendations

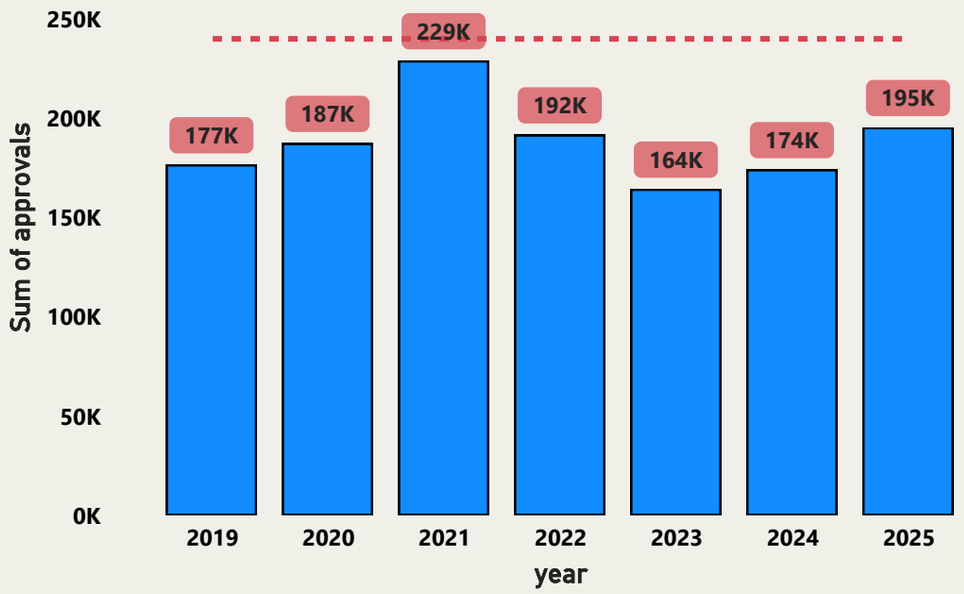
Australia's Housing Supply Crisis - Will We Hit 1.2 Million by 2029?

ABS Building Approvals · ABS Population · RBA Cash Rate | Data through Jan 2026

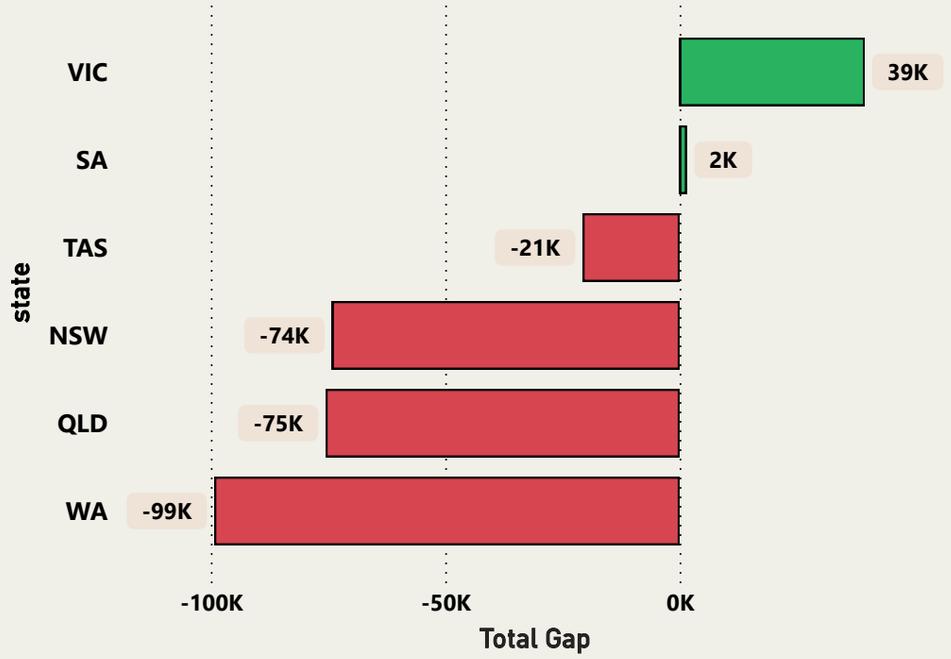
Key finding: Australia will deliver only 857,790 homes by 2029 - a shortfall of 342,210 (28.5% below target). NSW alone is short by 74,000 homes. Only Victoria and SA are on track. Rent inflation remains at 3.9% (direct consequence of under-supply).

NATIONAL TARGET BY 2029	2025 ANNUAL APPROVALS	PROJECTED SHORTFALL	CURRENT RENT INFLATION (%)
1,200,000	195,378	-342,210	3.9
Housing Accord Commitment	Total Approvals 2025	National Shortfall	Still Above RBA Target Bond

Annual Dwelling Approvals vs 240K target pace (2019 - 2025)



Housing Accord Gap By State (Homes Short of 5yr Target)



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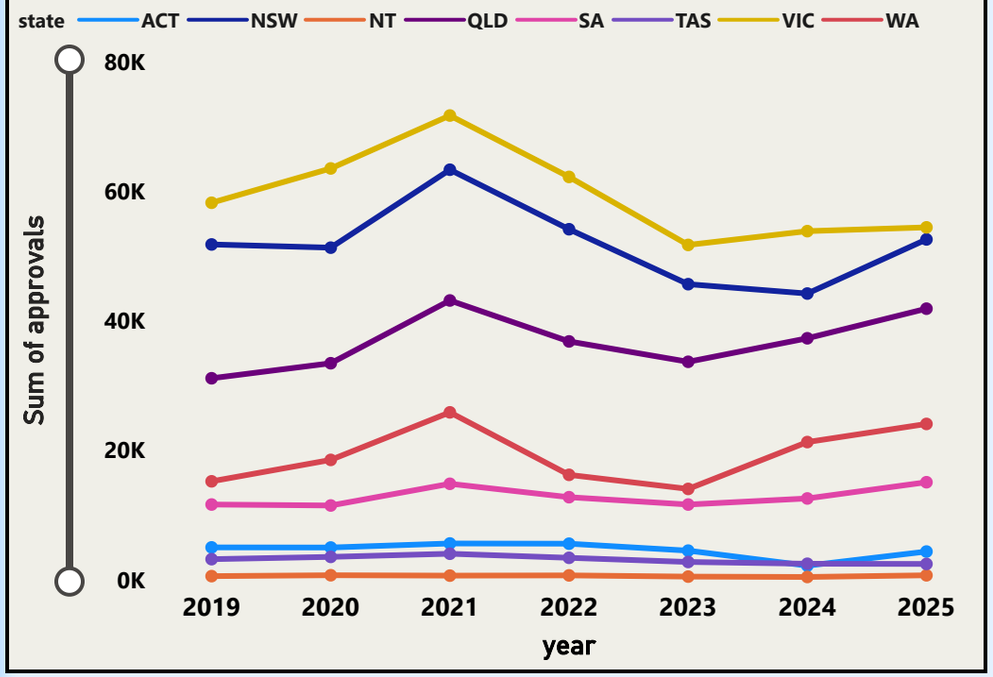
State finding: Only VIC and SA are on track for their Housing Accord targets. NSW needs 42% more approvals annually to close its 74,000 home gap. WA is building at only 57% of required pace despite Australia's fastest population growth at 14.8% since 2019.

STATES ON TRACK	NSW APPROVALS NEEDED	WA POPULATION GROWTH	VIC 5YR PROJECTION
2 of 6	+42%	+14.8%	+39K
VIC and SA	Increase required immediately	Fastest in Australia 2019–25	Only major surplus state

Housing Accord scorecard - state by state

State	2025 Approvals	5yr Projection	Target	Gap	Status
SA	15056	61518	60000	1518	On track
VIC	54400	279491	240000	39491	On track
TAS	2440	14341	35000	-20658	Short by 20,658
NSW	52539	239875	314000	-74125	Short by 74,125
QLD	41848	179536	255000	-75463	Short by 75,463
WA	24055	85791	185000	-99208	Short by 99,208

Approvals by state - 2019 to 2025



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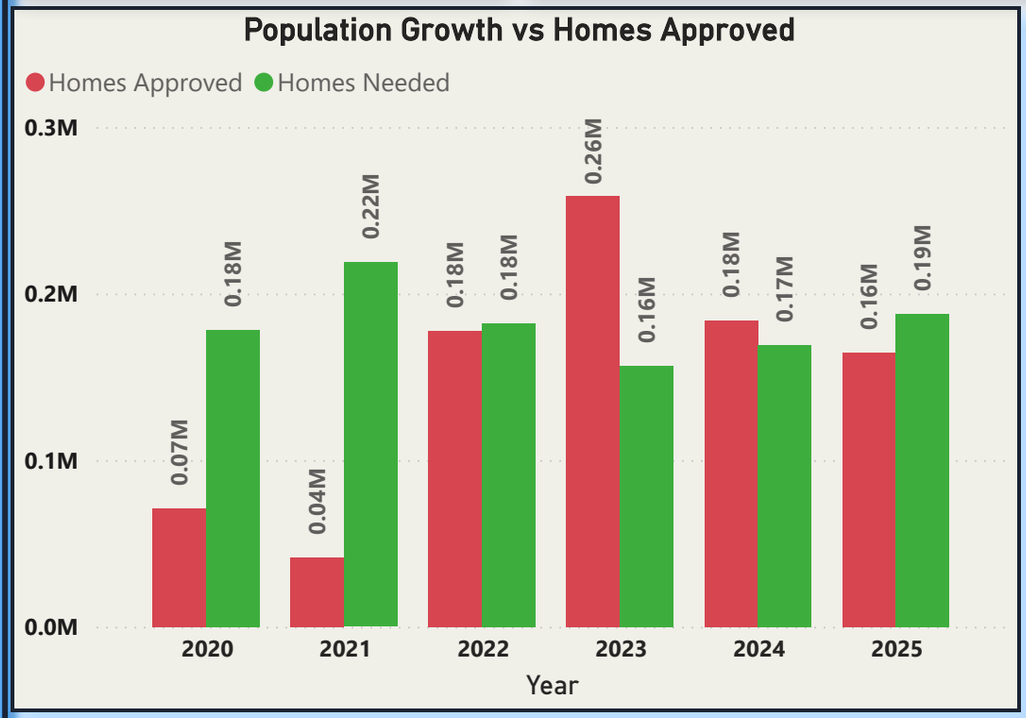
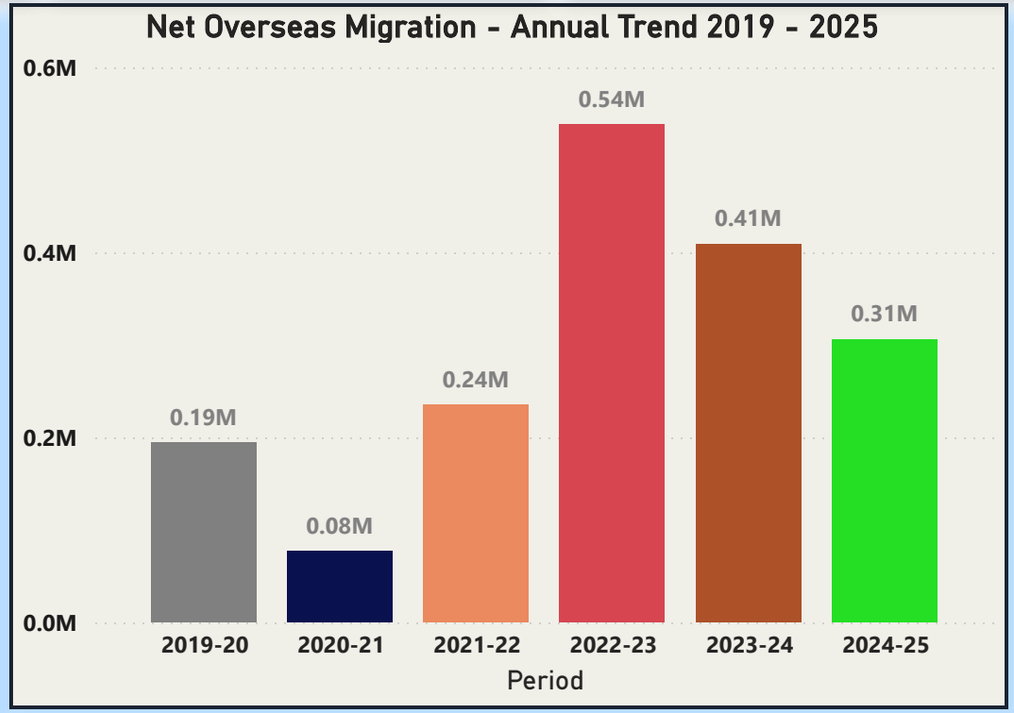
Demand finding: Australia's population grew 420,000 in 2024–25. At 2.5 persons per household that requires 168,000 new homes annually. In 2022–23 migration hit 538,000 - requiring 215,000 homes. Only 164,000 were approved. That single-year gap of 51,000 is why rents spiked 8%.

POPULATION GROWTH 2024–25	NEW HOMES NEEDED ANNUALLY	HOMES APPROVED 2025	MIGRATION PEAK 2022–23
420,100	168,000	195,378	538,000
People Added to Australia	At 2.5 persons per household	Approvals 2025	Demand surge





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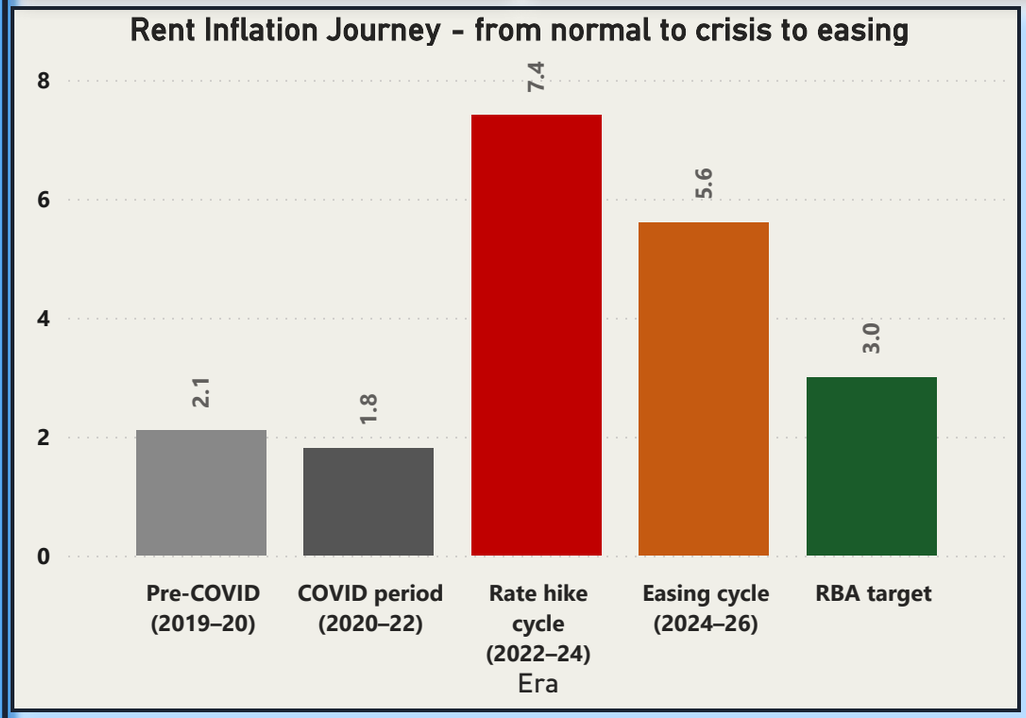
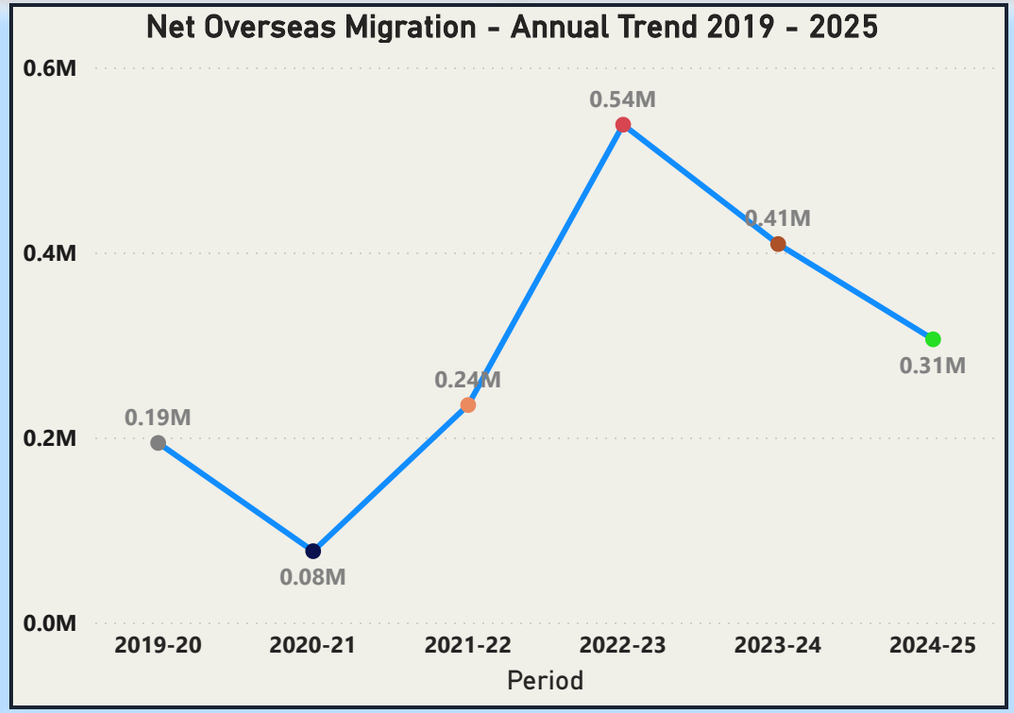
Rent finding: Australia's rent inflation peaked at 8.1% in late 2023 - the highest in 40 years. Rate hikes did NOT reduce rents - only slower migration did. Rents are still rising at 3.9% annually. Without a supply breakthrough, any migration rebound triggers another spike immediately.

RENT INFLATION PEAK (%)	CURRENT RENT INFLATION (%)	RBA Cash Rate (%)	RENT INCREASE SINCE 2019 (%)
8.1	3.9	4.1	32
Late 2023 - 40 year high	Jan 2026 - still above target	Cutting since Feb 2024	Cumulative renter pain





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Strategic conclusion: Australia's housing crisis is a supply pipeline failure - not a demand management problem. Rate hikes didn't fix rents. Only slowing migration temporarily eased pressure. The structural fix requires NSW to approve 63,000+ homes per year - 42% above 2024 levels. Until then, renters bear the cost.

Urgent action required

NSW - crisis state

NSW needs 314,000 homes by 2029 but is tracking only 239,875 a 74,000 home shortfall. Needs 42% increase in annual approvals immediately. Zoning reform, streamlined DA processes and infrastructure investment are the critical levers.

Currently building at 70% of required pace

Monitor closely

WA and QLD - population risk

WA grew 14.8% since 2019 - fastest in Australia - but is only 46% on track for its Housing Accord target. QLD at 70%. If iron ore boom or tourism recovery drives another migration wave, Perth and Brisbane rents could exceed 2023 peaks within 12 months.

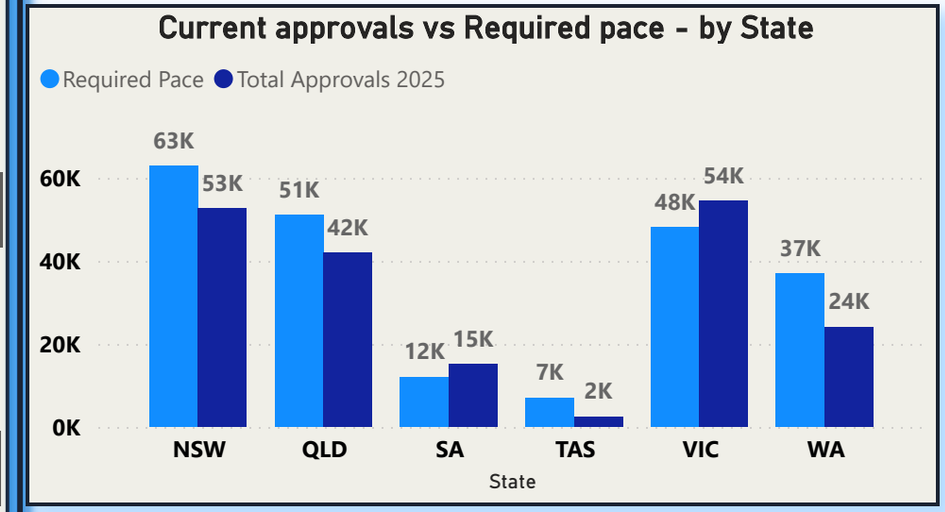
WA needs to double its current approval rate

Opportunity

VIC leads on federal Housing Accord target.

Victoria is the only major state on track against the National Housing Accord - projecting a 39,000 surplus against its federal allocation of 240,000 homes by 2029.

Note: Victoria has also set its own state target of 800,000 homes by 2034 - a more ambitious commitment against which it is falling short. For property investors



Analysis limitations :-

What this dashboard can't answer:

1. Approvals ≠ completions : 15–25% of approved dwellings are never built. Real shortfall likely exceeds 342,210.

2. Construction costs not included : Building costs rose 40% since 2019 - explains why builders walk away from approved projects.

3. Suburb-level data needed : State figures hide local variation. CoreLogic rental data would show worst-affected